

Financial Accounting

FYBBA SEMESTER – 1 MAJOR CC102	Financial Accounting	4L:0T:0P	4 Credits
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Course Description:

This course intends to introduce basic accounting principles and practices. The students will have knowledge about the fundamental accounting processes such as journalizing, ledger posting, preparation of trial balance and final accounts in sole trading and company form of business. It also deals with providing an overview of accounting standards on sustainability accounting as value creation for business.

Course Objectives:

1. To provide an understanding of application of various principles and practice of Accounting.
2. To demonstrate the knowledge on the process of accounting cycle and basic steps involved in Accounting.
3. To apply the knowledge of systematic maintenance of books of accounts to real life business.
4. To estimate Annual Financial statements of Sole proprietorship and Company form of business.

Course Content:

Unit- I: Introduction to Accounting, Accounting system and process

Meaning of Financial Accounting, advantages and limitations of accounting, Accounting standards in India and International (outline), Branches of Accounting, Brief introduction on IFRS & IND AS (Only list of Indian accounting standards), Accounting concepts and conventions, Accounting concept of income and expenditure, Classification of capital and revenue- expenditure and income, accounting equation of assets equals capital and liabilities, accounting process, contingent assets and liabilities, Fictitious assets.

Unit - II: Recording transactions and Trial balance

Transactions -nature, Entry in Journal, Purchases, sales, Returns, Receivables, and payables, Inventory, Depreciation and amortizations, reserves, Intangible assets accounting, GST transactions, Entry in Ledger, Accounting accuracy through Trial balance, correction of errors.

Unit – III: Final Accounts

Final Accounts of Sole Trader (Numeric), Final accounts of Company as per Company Act 2013(Only Format)

Unit - IV: Element of cost accounting

Conceptual Meaning of Cost Accounting (CA) , Advantages and Limitations of CA, Concepts of Costs, Methods of Costing, Preparation of Cost Sheet(Numeric), Stock Register (First In First Out Method, Last In First Out Method, Weighted Average Method) (Numeric).

Text Books (Latest Editions):

1. Jain S.P.,& Narang K L. . Basic Financial Accounting I, New Dehli, Kalyani publishers.
2. Kimmel, Financial accounting, Wiley Publications
3. Gupta, A.. Financial Accounting for Management: An Analytical Perspective, Noida, Pearson Education.
4. S.N. Maheshwari, and. S. K. Maheshwari. Financial Accounting. Vikas Publishing House, New Delhi.
5. Ashish k Battacharya, Essentials of financial accounting for Business Managers, Six, PHL learning.

Suggested Cases

1. Smokey Valley Café
2. Irrigation Equipment's Limited
3. Monarch Trading Company

Course Outcomes:

On having completed this course student should be able to:

1. Identify the application of various principles and practice of Accounting in preparation of accounting statements.
 2. Demonstrate the knowledge on the process of accounting cycle.
 3. Apply the knowledge of systematic maintenance of books of accounts to real life business.
 4. Estimate Annual Financial statements of Sole proprietorship and Company form of business.
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